UNIT 4

Accounting Information Systems

Learning Objectives

1. Explain the relationship of the accounting information system (AIS) to the management information system (MIS) and identify the components of an AIS. (LO^1)
2. Explain the goals and uses of special journals. (LO^2)
3. Describe the use of controlling accounts and subledgers. (LO^3)

Learning Objectives

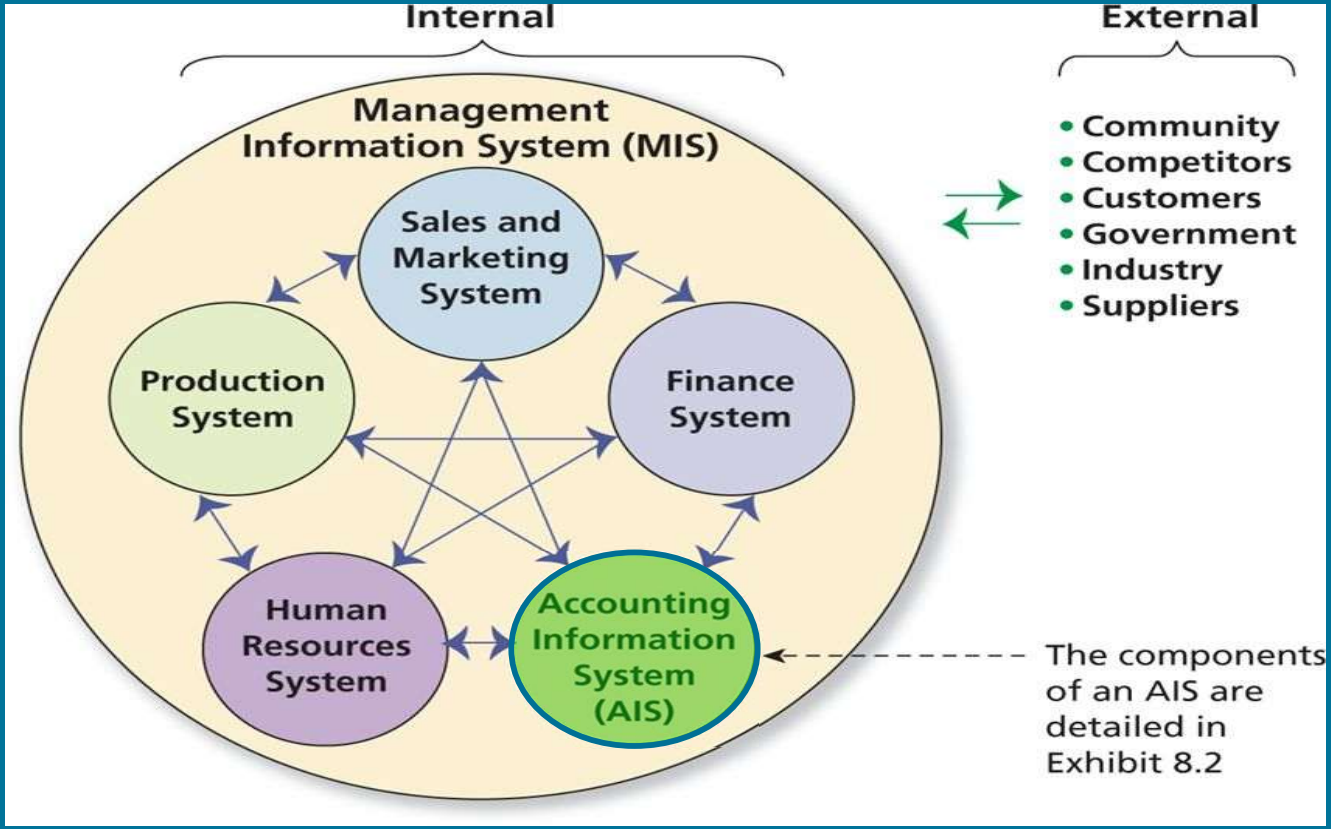
4. Journalize and post transactions using special journals. (LO^4)
5. Journalize and post transactions using special journals in a periodic inventory system. (Appendix 8A) (LO^5)

Management Information Systems

A **management information system (MIS)** is designed to collect and process data within an organization for the purpose of providing users with information.

MIS Subsystems:

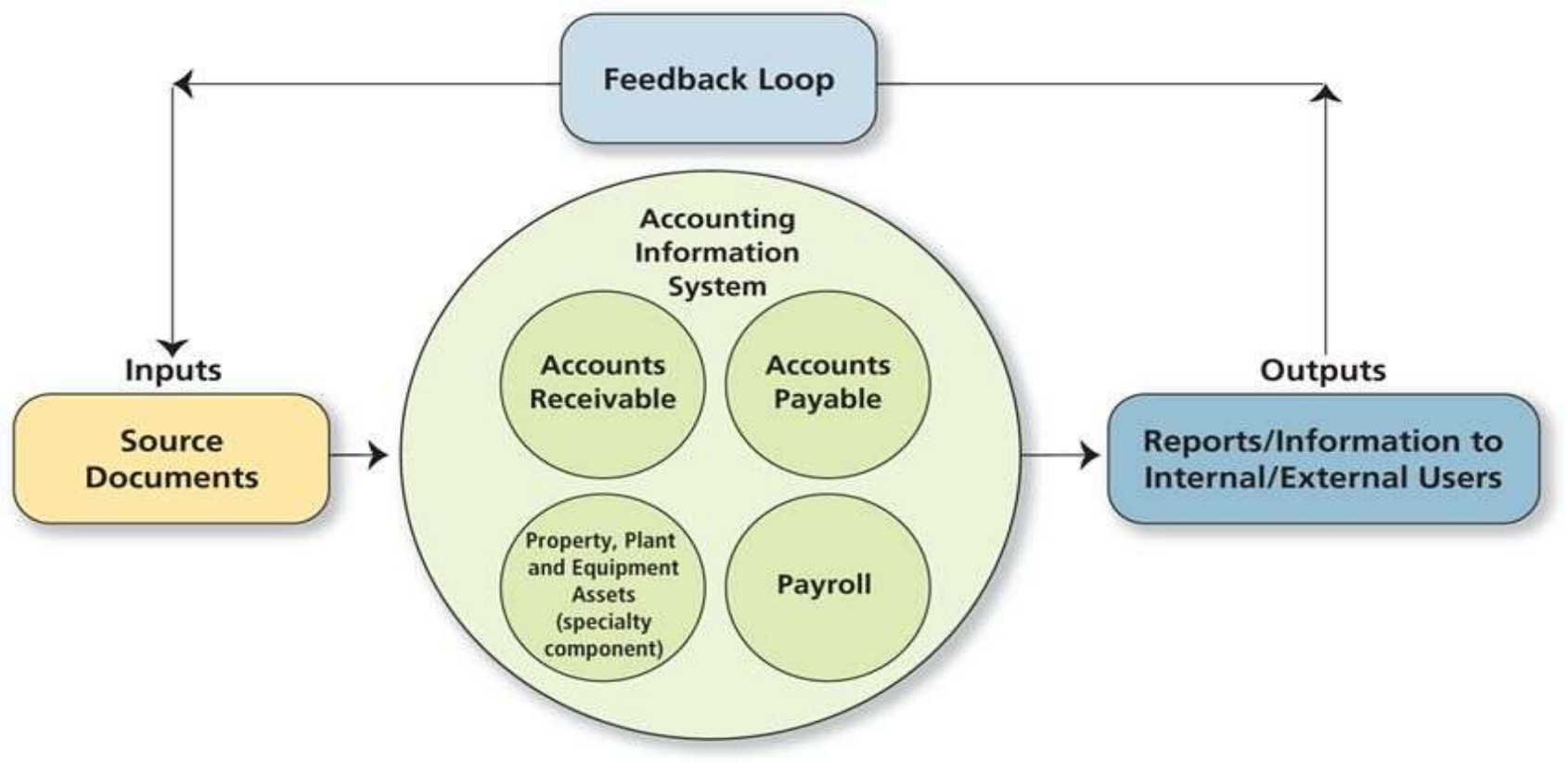
- Sales and Marketing
- Production
- Finance
- Human Resources
- Accounting

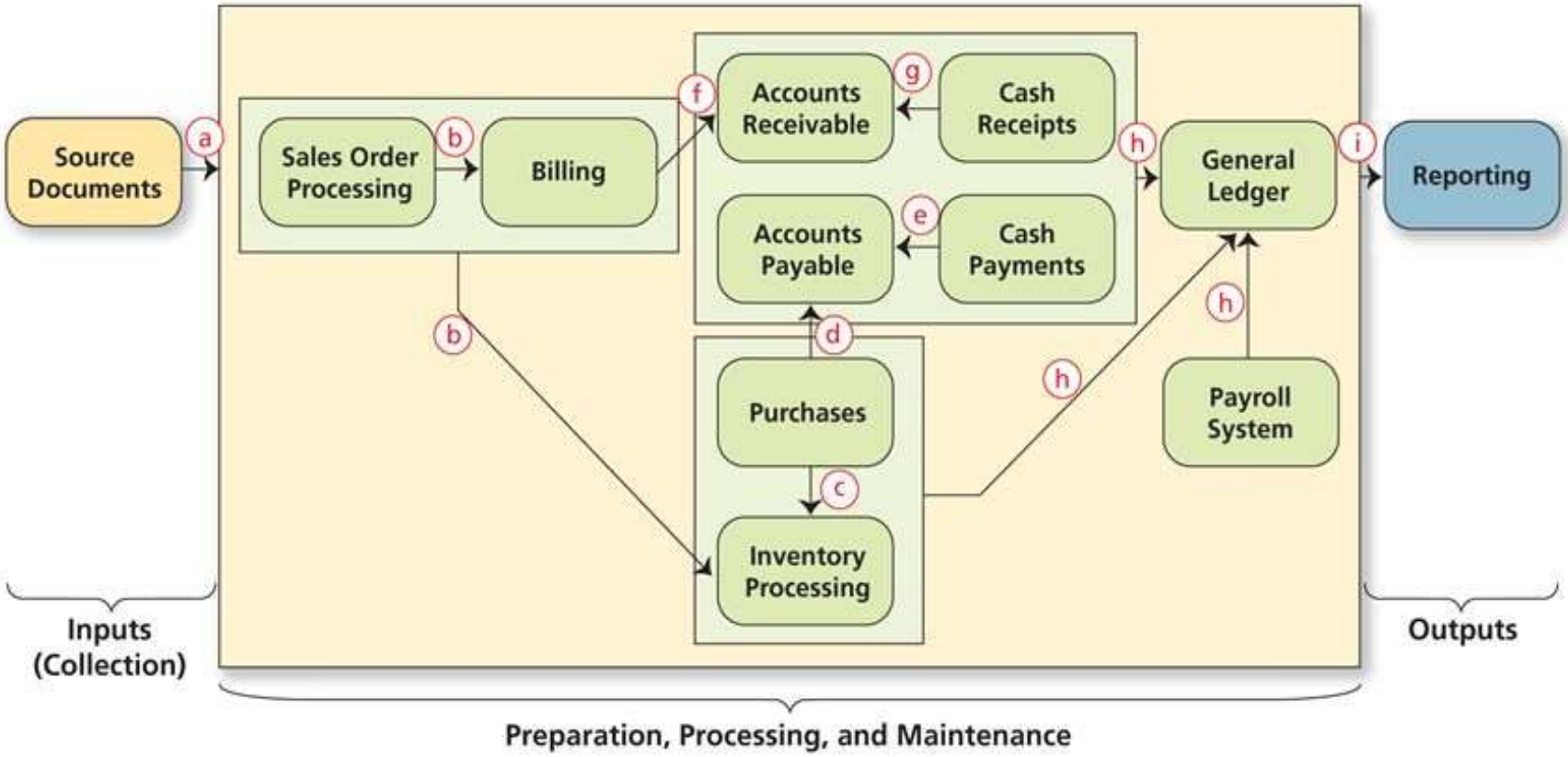


The point here is that the information created by each department is very important to all other departments. Effective businesses have systems in place for the sharing of information.

Accounting Information Systems (AIS)

A group of components that collect and process raw financial data into timely, accurate, relevant, and cost-effective information to meet the purposes of internal and external users.





Explanation (not necessarily performed in this sequence):

(a) Source documents enter the Accounting Information System (AIS)

(b) Sales information is used to update records for both billing (Dr Accounts Receivable) and merchandise inventory (Cr Merchandise Inventory)

(c) Purchases are made based on sales information to maintain appropriate levels (Dr Merchandise Inventory)

(d) Purchases information is used to update Accounts Payable (Cr Accounts Payable)

(e) Purchases are paid when due and Accounts Payable is updated (Dr Accounts Payable)

(f) Accounts Receivable records are updated based on sales information (Dr Accounts Receivable)

(g) As cash is received from customers, Accounts Receivable is updated (Cr Accounts Receivable)

(h) All transactions are posted into the General Ledger, including payroll transactions

(i) The AIS generates financial statements at the end of the accounting period in addition to special purpose reports created as needed

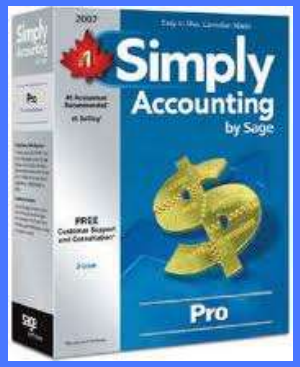
This process should seem familiar. We have been dealing with work related to this process for two years now.

Computers In Accounting

Computer hardware and software is essential for accounting functions of all businesses.

Small to Medium Sized Businesses (SMB)

Large Enterprises



Computer software used solely by accounting departments.

Enterprise-application software are integrated programs used by all departments including accounting. These can be greatly customized for the specific needs of an individual company. These tend to only be used in very large businesses.

Your Turn!

QS 8-1 and QS 8-2

Quick Study 8-1

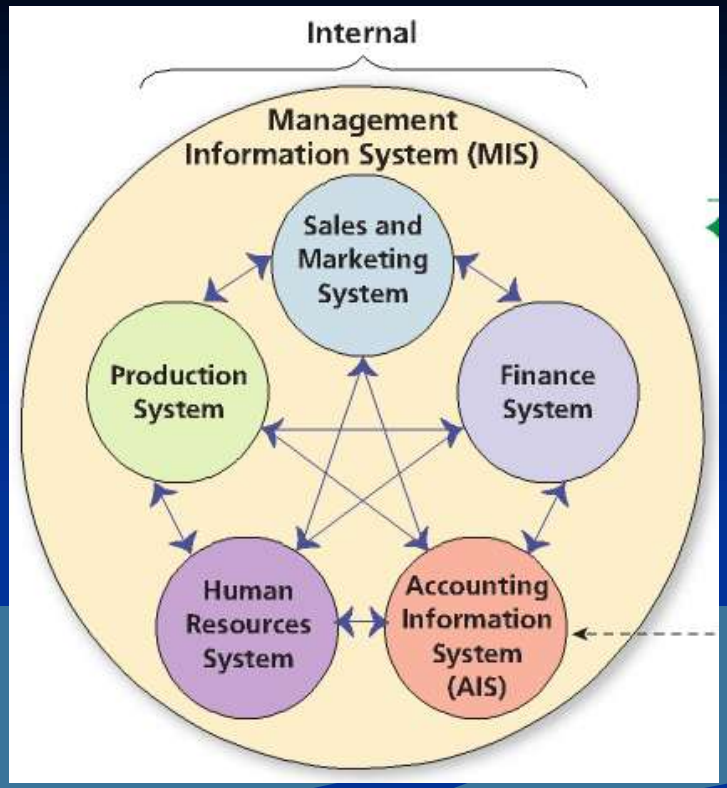
Refer to Exhibit 8-2. Identify which component of the AIS would process each of the following source documents:

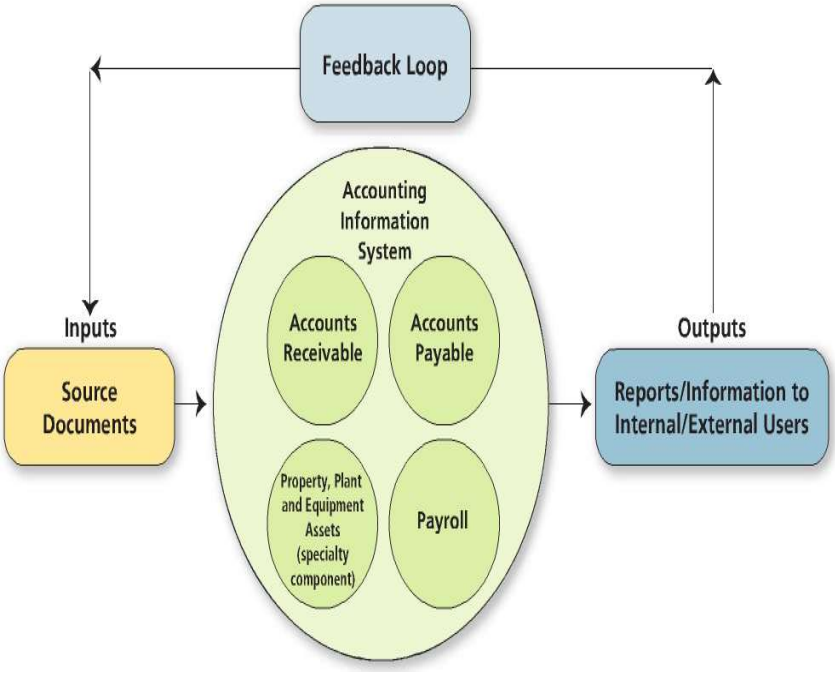
	Accounts Payable (AP) Accounts Receivable (AR) Payroll (P)	
1. Time cards from employees		1. P
2. Sales invoice; terms 2/10, n/30		2. AR
3. Deposit slip regarding cash collections from credit customers		3. AR
4. Cheque written to pay account with supplier		4. AP

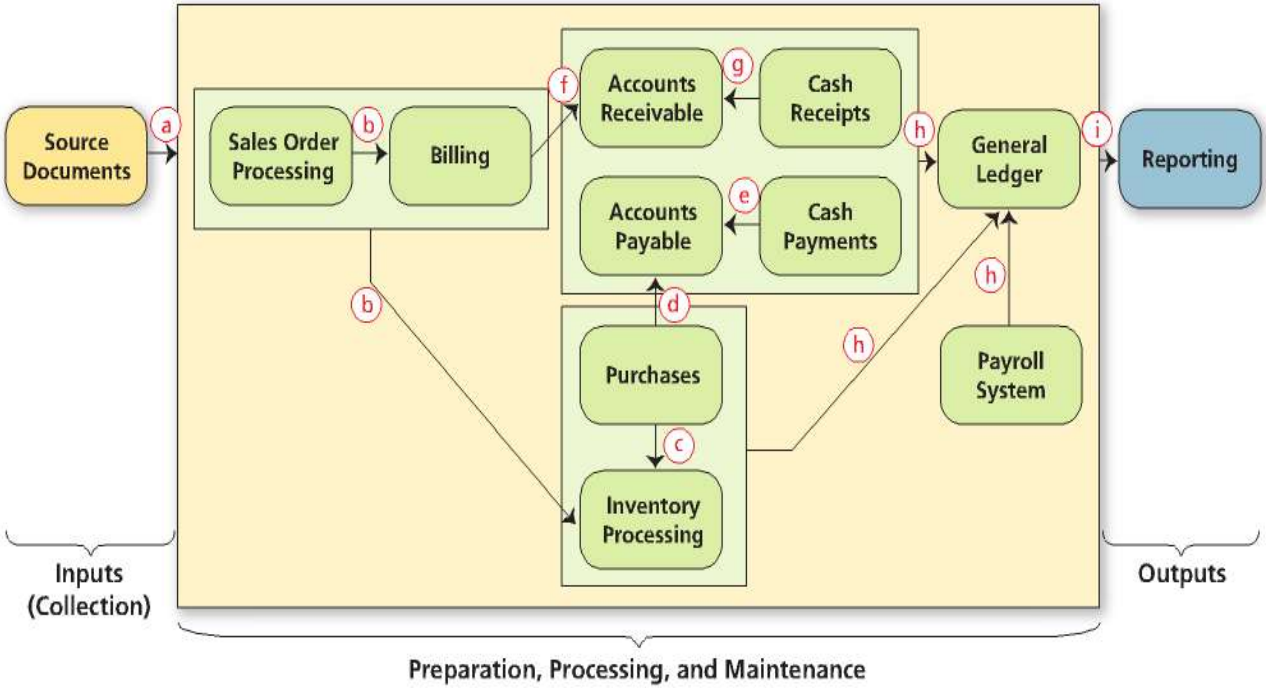
Quick Study 8-2

Refer to Exhibit 8-3. Identify each of the following as an *input to* or an *output from* an AIS:

	Input (I) or Output (O)	
1. Bank statement		1. I
2. Sales invoice issued to customer		2. I
3. Schedule of accounts payable		3. O
4. Income statement		4. O
5. Purchase order issued to supplier		5. I
6. Schedule detailing property, plant and equipment		6. O
7. Report detailing employee absences/minutes late		7. O
8. Memorandum issued by supplier regarding defective merchandise		8. I

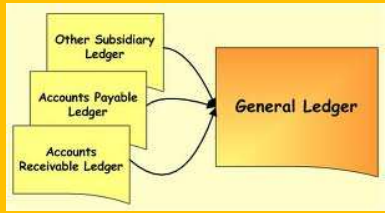




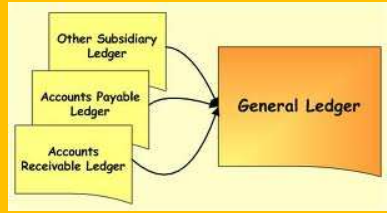


Underlying Operations of Accounting Systems

There are two main "operations" we want to explore.



Subsidiary Ledgers
(aka Subledgers)



AND…

Special Journals

Subledgers

(Subsidiary ledgers)

We know that the General Ledger is a list of all of the accounts in the business and details the transactions and balances of those accounts.

Subledgers are simply listings of individual accounts <u>that share some common characteristic.</u>

Common subledgers include…

- Accounts Receivable Subledger
- Accounts Payable Subledger
- Inventory Subledger

The benefit of a subledger is that we can remove unnecessary detail from the **General Ledger** and put it in one place where it is useful!

For example, a general Accounts Payable account in the **General Ledger** and a collection of several individual accounts payable accounts in the **Accounts Payable Subledger.**

Accounts Receivable Subledger

General Ledger
Used for preparing financial statements and other reports

Accounts Receivable Subledger
Used for preparing bills sent to customers and other reports

Accounts receivable controlling account

One account for each customer

Notes Payable

Accounts Payable

Equipment

Accounts Receivable
650

Cash
28,293

Albert Co.
250

Paul Roth
-0-

Bam Moore
-0-

Jason Henry
225

Frank Booth
175

The general ledger will no longer contain separate payables and receivables for every customer and supplier.

Controlling account balance ($650) = The sum of the balances of its subsidiary accounts ($175 + $225 + $0 + $0 + $250)

Accounts Receivable Subledger

Accounts Receivable Subledger accounts. One page for each debtor.

Adams Company

Date		PR	Debit	Credit	Balance
Jan.	1	S5	500		500

Baine Company

Date		PR	Debit	Credit	Balance
Jan.	16	S5	1,000		1,000

Cook Company

Date		PR	Debit	Credit	Balance
Jan.	25	S5	415		415

A separate subledger account is used to show how much each individual customer owes.

Accounts Receivable Subledger

After all items are posted, the balance in the Accounts Receivable controlling account **must equal** the sum of the balances in the subledger accounts.

Adams Company

Date		PR	Debit	Credit	Balance
Jan.	1	S5	500		500

Baine Company

Date		PR	Debit	Credit	Balance
Jan.	16	S5	1,000		1,000

Cook Company

Date		PR	Debit	Credit	Balance
Jan.	25	S5	415		415

GENERAL LEDGER

Accounts Receivable No. 106

Date		PR	Debit	Credit	Balance
Jan.	31	S5	1,915		1,915

Accounts Payable Subledger

Same deal here,
but for payables!!

ACCOUNTS RECEIVABLE SUBLEDGER

Paul Abrams

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	5		S3	8,000		8,000
	14		CR3		8,000	0

Linda Hobart

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	3		S3	3,000		3,000
	13		CR3		3,000	0
	13		S3	4,100		4,100

Kelly Schaefer

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	11		S3	9,500		9,500

Here are two small samples of Accounts Receivable and Accounts Payable Subledgers.
Notice that they are not very different than a normal ledger account.

ACCOUNTS PAYABLE SUBLEDGER

Frank's Supply

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	9		P3		11,125	11,125

Baskin Company

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	2		P3		13,300	13,300
	12		CD3	13,300		0

Sprocket Company

Date		Explanation	PR	Debit	Credit	Balance
2011						

Eau Claire Inc.

Date		Explanation	PR	Debit	Credit	Balance
2011						
Apr.	3		P3		1,380	1,380
	6		G3	85		1,295

The only difference is that they are separate from the General Ledger (notice the titles) and they contain only accounts of a relevant type, in this case A/P or A/R.

No account numbers are assigned either.

Inventory Subledger

Same idea here. The General ledger will have one controlling Merchandise Inventory account. The Inventory Subledger will have a separate account for each inventory item. Shown below would be one such subledger account for Leather Sports Bags.

Item: Leather Sports Bags — Location code: W18C2

Catalogue No.: LSB-117 — Units: Maximum 25 — Minimum 5

		Purchases			Sales (at cost)			Balance		
Date	PR	Units	Unit Cost	Total Cost	Units	Unit Cost	Total Cost	Total Units	Unit Cost	Total Cost
2011 Aug. 1								10	$100	$1,000
12	S2				4	$100	$400	6	100	600
								6	100	
18	P3	20	$110	$2,200				20	110	2,800
30	S2				6	100	600			
					2	110	220	18	110	1,980
Totals		20		$2,200	12		$1,220			

Businesses may also have other subledgers for several other accounts. For example, a business that purchases several different types of equipment might have an equipment subledger that contains separate accounts for each type of equipment while there would be only 1 controlling equipment account in the general ledger.

Your Turn!

These two questions below will test your basic understanding of the impact that various transactions would have on the subledgers. You will get practice at using actual subledgers after we explore special journals.

QS 8-5 and QS 8-6

Special Journals

Most organizations use Special Journals to enhance efficiency of transaction processing.

<u>Common Types</u>

- Sales Journal
- Cash Receipts Journal
- Purchases Journal
- Cash Disbursements Journal

Sales Journal

The sales journal is used to record sales of merchandise on credit.

IDEXX LABORATORIES

INVOICE

ACCOUNT NUMBER	INVOICE NUMBER	INVOICE DATE
301234	210289591	09/27/2009

Shipping Address
Ship-to Acct Number: 15565
ABC Company
123 Main Street
Anytown, USA 00000

PO NUMBER	PAYMENT TERMS	DELIVERY NUMBER	CURRENCY
12345678910	Net Due on 25th of next month	82427525	USD

QTY	SHIP DATE	ITEM	DESCRIPTION	UNIT PRICE	UNIT	AMOUNT
5	09/27/2009	98-20590-00	PROF, GENERAL HEALTH PROFILE, US	39.39	BOX	196.95
			Practice Developer Redeem			-100.00
			Shipping & Handling			6.95
			Sales Tax 5.000 % X 203.90			9.85
			Total amount			**113.75**

IDEXX Distribution, Inc. 6100 E. Shelby Dr. Memphis TN 38141-7602
In-House Diagnostics 1-800-614-1147 option 1
THIS TRANSACTION IS SUBJECT TO THE CONDITIONS ON THE FACE AND REVERSE HEREOF

Please detach this section and enclose with your payment. DO NOT SEND CASH!

IDEXX Laboratories, Inc.
One IDEXX Drive
Westbrook, Maine 04092

ACCOUNT NUMBER	INVOICE NUMBER	INVOICE DATE
301234	210269591	09/27/2009

TOTAL DUE	CURRENCY
$113.75	USD

IF PAYING BY CREDIT CARD, PLEASE COMPLETE THIS SECTION
SELECT ONE: ☐ Visa® ☐ MasterCard® ☐ Amex®
CARD HOLDER NAME (Please Print)
CARD NUMBER | EXP. DATE

Enter Amount Enclosed:_____

Please Send Your Payment To This Address:

ABC Company
123 Main Street
Anytown, USA 00000

IDEXX Distribution, Inc.
PO Box 101327
Atlanta, GA 30392-1327

Sales Journal — Example

On February 2, Jason Henry purchased $450 of merchandise on account from Outdoors Unlimited. The goods originally cost Outdoors $315. Record the entry in the Sales Journal.

Before we get there…what accounts are involved in a journal entry where a sale is made on credit?

Merchandise Inventory (Cr)

Cost of Goods Sold (Dr)

Sales (Cr)

Account Receivable (Dr)

Feb 2	Accounts Receivable	450.00	
	Sales		450.00
	Rec rev from sale on acct		
2	Cost of Goods Sold	315.00	
	Merchandise Inventory		315.00
	Record cost of goods sold		

Merchandise Inventory (Cr)

Cost of Goods Sold (Dr)

Sales (Cr)

Account Receivable (Dr)

Sales Journal

The Sales Journal looks different than the general journal. It makes use of columns associated only with this specific type of transaction.

SALES JOURNAL **Page 3**

Date	Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory

Since each transaction yields a debit to Accounts Receivable and a credit to Sales, we need only one column for these two accounts.

This column total is posted monthly to the General Ledger.

Sales Journal

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011						
Feb.	2	Jason Henry	307		450	315

Similarly, each transaction yields a debit to Cost of Goods Sold and a credit to Merchandise Inventory. Therefore, these accounts can also be included together in one column. This column total would also be posted monthly to the General Ledger.

Sales Journal-Posting

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011						
Feb.	2	Jason Henry	307		450	315

Daily, each transaction is posted to the appropriate Accounts Receivable subledger account.

ACCOUNTS RECEIVABLE SUBLEDGER					
Jason Henry					
Date		PR	Debit	Credit	Balance
Feb.	2		450		450

Sales Journal-Posting

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011						
Feb.	2	Jason Henry	307	√	450	315

A √ in the PR column indicates the transaction has been posted to the subledger account.

ACCOUNTS RECEIVABLE SUBLEDGER					
Jason Henry					
Date		PR	Debit	Credit	Balance
2011					
Feb.	2	S3	450		450

Sales Journal

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011						
Feb.	2	Jason Henry	307	✓	450	315
	7	Albert Co.	308	✓	500	355
	13	Bam Moore	309	✓	350	260
	15	Paul Roth	310	✓	200	150

Here is the Sales Journal after recording some additional sales.

Sales Journal

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr. Merchandise Inventory
2011						
Feb.	2	Jason Henry	307	✓	450	315
	7	Albert Co.	308	✓	500	355
	13	Bam Moore	309	✓	350	260
	15	Paul Roth	310	✓	200	150
	22	Jason Henry	311	✓	225	155
	25	Frank Booth	312	✓	175	95
	28	Albert Co.	313	✓	250	170
	28	Totals			2,150	1,500
					(106/413)	(502/119)

On Feb. 28th , post the column total to Accounts Receivable and Sales accounts in the General Ledger..

GENERAL LEDGER					
Accounts Receivable					No. 106
Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3	2,150		2,150

GENERAL LEDGER					
Sales					No. 413
Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3		2,150	2,150

Sales Journal

SALES JOURNAL						Page 3
Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011				✓		
Feb.	2	Jason Henry	307		450	315
	7	Albert Co.	308	✓	500	355
	13	Bam Moore	309	✓	350	260
	15	Paul Roth	310	✓	200	150
	22	Jason Henry	311	✓	225	155
	25	Frank Booth	312	✓	175	95
	28	Albert Co.	313	✓	250	170
	28	Totals			2,150	1,500
					(106/413)	(502/119)

GENERAL LEDGER					
Merchandise Inventory					No. 119
Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3		1,500	1,500

Now post to the COGS and Merchandise Inventory accounts …

GENERAL LEDGER					
Cost of Goods Sold					No. 502
Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3	1,500		1,500

Sales Journal

SALES JOURNAL Page 3

Date		Account Debited	Invoice Number	PR	Dr. A/R Cr. Sales	Dr. COGS Cr.Merchandise Inventory
2011				✓		
Feb.	2	Jason Henry	307		450	315
	7	Albert Co.	308	✓	500	355
	13	Bam Moore	309	✓	350	260
	15	Paul Roth	310	✓	200	150
	22	Jason Henry	311	✓	225	155
	25	Frank Booth	312	✓	175	95
	28	Albert Co.	313	✓	250	170
	28	Totals			2,150	1,500
					(106/413)	(502/119)

GENERAL LEDGER

Merchandise Inventory No. 119

Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3		1,500	1,500

… and include the posting references.

GENERAL LEDGER

Cost of Goods Sold No. 502

Date		PR	Debit	Credit	Balance
2011 Feb.	28	S3	1,500		1,500

Outdoors Unlimited Sales Journal

Page 3

Date	Account Debited	Invoice Number	PR	Accounts Receivable Dr. Sales Cr.	Cost of Goods Sold Dr. Merchandise Inventory Cr.
2011					
Feb. 2	Jason Henry	307	✓	450	315
7	Albert Co.	308	✓	500	355
13	Bam Moore	309	✓	350	260
15	Paul Roth	310	✓	200	150
22	Jason Henry	311	✓	225	155
25	Frank Booth	312	✓	175	95
28	Albert Co.	313	✓	250	170
28	Totals			2,150	1,500
				(106/413)	(502/119)

Individual amounts in the Accounts Receivable Debit column are posted daily.

Accounts Receivable Subledger

Frank Booth

Date	PR	Debit	Credit	Balance
2011				
Feb. 25	S3	175		175

Jason Henry

Date	PR	Debit	Credit	Balance
2011				
Feb. 2	S3	450		450
22	S3	225		675

Bam Moore

Date	PR	Debit	Credit	Balance
2011				
Feb. 13	S3	350		350

Paul Roth

Date	PR	Debit	Credit	Balance
2011				
Feb. 15	S3	200		200

Albert Co.

Date	PR	Debit	Credit	Balance
2011				
Feb. 7	S3	500		500
28	S3	250		750

General Ledger

Accounts Receivable No. 106

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				0
Feb. 28	S3	2,150		2,150

Merchandise Inventory No. 119

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				16,250
Feb. 28	S3		1,500	14,750

Sales No. 413

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				23,400
Feb. 28	S3		2,150	25,550

Cost of Goods Sold No. 502

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				14,100
Feb. 28	S3	1,500		15,600

Column totals are posted at the end of the period.

Testing the Ledger

On the right is a Schedule of Accounts Receivable. It simply lists all of the accounts, with their balances, from the A/R subledger. The same can be done for A/P.

Schedule of Accounts Receivable February 28, 2011		
Frank Booth	$	175
Jason Henry		675
Bam Moore		350
Paul Roth		200
Albert Co.		750
Total accounts receivable	**$**	**2,150**

The Accounts Receivable controlling account and the subledger are in balance.

GENERAL LEDGER					
Accounts Receivable					No. 106
Date		PR	Debit	Credit	Balance
2011					
Feb	28	S3	2,150		2,150

Sales Returns and Allowances

If a company has few sales returns, they may record them in the General Journal.

GENERAL JOURNAL					Page 34
Date		Description	PR	Debit	Credit
2011					
Mar	7	Sales Returns and Allowances	414	10	
		Accounts Receivable--Bam Moore	106/ ✓		10
	7	Merchandise Inventory	119	6	
		Cost of Goods Sold	502		6

But, if a company has lots of sales returns, they may use a Sales Returns and Allowances Journal.

Your Turn!

QS 8-7
Exercise 8-1

Cash Receipts Journal

The cash receipts journal is used to record **ALL** receipts of cash.

These typically fall into 3 categories.

- Cash from credit customers
  (customers paying off their accounts)
- Cash from cash sales
  (paying immediately for products/services)
- Cash from other sources
  (ummm…other stuff)

In each of these cases, the journal entry would require a debit to cash and a credit to some other account (A/R, Sales, etc.)

Typical Cash Receipts Journal Column Headings

Outdoors Unlimited Cash Receipts Journal

Page 2

Date	Accounts Credited	PR	Explanation	Cash Dr.	Sales Discount Dr.	Accounts Receivable Cr.	Sales Cr.	Other Accounts Cr.	Cost of Goods Sold Dr. Merchandise Inventory Cr.

Often used to specify the name of the customer whose A/R is being paid.

As we would expect, there is a heading for the most common accounts involved in cash receipt transactions.

This column is used when we make a sale for cash.

Outdoors Unlimited Cash Receipts Journal

Page 2

Date	Accounts Credited	PR	Explanation	Cash Dr.	Sales Discount Dr.	Accounts Receivable Cr.	Sales Cr.	Other Accounts Cr.	Cost of Goods Sold Dr. Merchandise Inventory Cr.
2011									
Feb. 7	Sales		Cash sales	4,450			4,450		3,150
12	Jason Henry	✓	Invoice, Feb. 2	441	9	450			
14	Sales		Cash sales	3,925			3,925		2,950
17	Albert Co.	✓	Invoice, Feb. 7	490	10	500			
20	Notes Payable	245	Note to bank	750				750	
21	Sales		Cash sales	4,700			4,700		3,400
22	Interest Revenue	409	Bank account	250				250	
23	Bam Moore	✓	Invoice, Feb. 13	343	7	350			
25	Paul Roth	✓	Invoice, Feb. 15	196	4	200			
28	Sales		Cash sales	4,225			4,225		3,050
28	Totals			19,770	30	1,500	17,300	1,000	12,550
				(101)	(415)	(106)	(413)	(X)	(502/119)

Individual amounts in the Accounts Receivable Credit and Other Accounts Credit columns are posted daily.

Column totals except for Other Accounts columns are posted at the end of the period.

Accounts Receivable Subledger

Frank Booth

Date	PR	Debit	Credit	Balance
2011				
Feb. 25	S3	175		175

Jason Henry

Date	PR	Debit	Credit	Balance
2011				
Feb. 2	S3	450		450
12	CR2		450	-0-
22	S3	225		225

Bam Moore

Date	PR	Debit	Credit	Balance
2011				
Feb. 13	S3	350		350
23	CR2		350	-0-

Paul Roth

Date	PR	Debit	Credit	Balance
2011				
Feb. 15	S3	200		200
25	CR2		200	-0-

Albert Co.

Date	PR	Debit	Credit	Balance
2011				
Feb. 7	S3	500		500
17	CR2		500	-0-
28	S3	250		250

General Ledger

Cash No. 101

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				9,450
Feb. 28	CR2	19,770		29,220

Accounts Receivable No. 106

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				-0-
Feb. 28	S3	2,150		2,150
28	CR2		1,500	650

Merchandise Inventory No. 119

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				16,250
Feb. 28	S3		1,500	14,750
28	CR2		12,550	2,200

Notes Payable No. 245

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				-0-
Feb. 20	CR2		750	750

Sales No. 413

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				23,400
Feb. 28	S3		2,150	25,550
28	CR2		17,300	42,850

Sales Discounts No. 415

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				35
Feb. 28	CR2	30		65

Interest Revenue No. 409

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				260
Feb. 22	CR2		250	510

Cost of Goods Sold No. 502

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				14,100
Feb. 28	S3	1,500		15,600
28	CR2	12,550		28,150

Footing and Crossfooting

To **foot** a column of numbers is to add it.

Outdoors Unlimited Cash Receipts Journal

Page 2

These columns have all been "footed".

Date	Accounts Credited	PR	Explanation	Cash Dr.	Sales Discount Dr.	Accounts Receivable Cr.	Sales Cr.	Other Accounts Cr.	Cost of Goods Sold Dr. Merchandise Inventory Cr.
2011									
Feb. 7	Sales		Cash sales	4,450			4,450		3,150
12	Jason Henry	✓	Invoice, Feb. 2	441	9	450			
14	Sales		Cash sales	3,925			3,925		2,950
17	Albert Co.	✓	Invoice, Feb. 7	490	10	500			
20	Notes Payable	245	Note to bank	750				750	
21	Sales		Cash sales	4,700			4,700		3,400
22	Interest Revenue	409	Bank account	250				250	
23	Bam Moore	✓	Invoice, Feb. 13	343	7	350			
25	Paul Roth	✓	Invoice, Feb. 15	196	4	200			
28	Sales		Cash sales	4,425			4,425		3,050
28	Totals			19,770	30	1,500	17,300	1,000	12,550
				(101)	(415)	(106)	(413)	(X)	(502/119)

Debit Columns		Credit Columns	
Cash Debit	$19,770	Accounts Receivable Credit	$ 1,500
Cost of Goods Sold Debit	12,550	Sales Credit	17,300
Sales Discounts Debit	30	Other Accounts Credit	1,000
		Inventory Credit	12,550
Total	$32,350	Total	$32,350

Crossfooting simply refers to the process of adding the debit column totals and the credit column totals to ensure they are equal.

Your Turn!

Exercise 8-3

Purchases Journal

The Purchases Journal is used to record <u>all</u> purchases on credit.

Outdoors Unlimited Purchases Journal

Page 1

Date	Account Credited	Date of Invoice	Terms	PR	Accounts Payable Cr.	Merchandise Inventory Dr.	Office Supplies Dr.	Other Accounts Dr.
2011								
Feb. 3	Hornung Supply Co.	Feb. 2	n/30	✓	350	275	75	
5	Ace Mfg. Co.	5	2/10, n/30	✓	200	200		
13	Wynet & Co.	10	2/10, n/30	✓	150	150		
20	Smite Co.	18	2/10, n/30	✓	300	300		
25	Ace Mfg. Co.	24	2/10, n/30	✓	100	100		
28	Store Supplies/ITT Co.	28	n/30	125/✓	225	125	25	75
28	Totals				1,325	1,150	100	75
					(201)	(119)	(124)	(X)

Purchases Journal

The date of entry in the Purchases Journal and the Date of Invoice are distinct.

The Date of Invoice is the date used for calculating the beginning of any discount period.

Outdoors Unlimited Purchases Journal

Page 1

Date	Account Credited	Date of Invoice	Terms	PR	Accounts Payable Cr.	Merchandise Inventory Dr.	Office Supplies Dr.	Other Accounts Dr.
2011								
Feb. 3	Hornung Supply Co.	Feb. 2	n/30	✓	350	275	75	
5	Ace Mfg. Co.	5	2/10, n/30	✓	200	200		
13	Wynet & Co.	10	2/10, n/30	✓	150	150		
20	Smite Co.	18	2/10, n/30	✓	300	300		
25	Ace Mfg. Co.	24	2/10, n/30	✓	100	100		
28	Store Supplies/ITT Co.	28	n/30	125/✓	225	125	25	75
28	Totals				1,325	1,150	100	75
					(201)	(119)	(124)	(X)

Purchases Journal

Notice that we list the name of the account we debiting in the "Other" column here…BEFORE the name of the A/P Sub ledger account we are crediting. This may not make a lot of sense, but it is the way it is done.

Outdoors Unlimited Purchases Journal

Page 1

Date	Account Credited	Date of Invoice	Terms	PR	Accounts Payable Cr.	Merchandise Inventory Dr.	Office Supplies Dr.	Other Accounts Dr.
2011								
Feb. 3	Hornung Supply Co.	Feb. 2	n/30	✓	350	275	75	
5	Ace Mfg. Co.	5	2/10, n/30	✓	200	200		
13	Wynet & Co.	10	2/10, n/30	✓	150	150		
20	Smite Co.	18	2/10, n/30	✓	300	300		
25	Ace Mfg. Co.	24	2/10, n/30	✓	100	100		
28	Store Supplies/ITT Co.	28	n/30	125/✓	225	125	25	75
28	Totals				1,325	1,150	100	75
					(201)	(119)	(124)	(X)

Outdoors Unlimited Purchases Journal

Page 1

Date	Account Credited	Date of Invoice	Terms	PR	Accounts Payable Cr.	Merchandise Inventory Dr.	Office Supplies Dr.	Other Accounts Dr.
2011								
Feb. 3	Hornung Supply Co.	Feb. 2	n/30	✓	350	275	75	
5	Ace Mfg. Co.	5	2/10, n/30	✓	200	200		
13	Wynet & Co.	10	2/10, n/30	✓	150	150		
20	Smite Co.	18	2/10, n/30	✓	300	300		
25	Ace Mfg. Co.	24	2/10, n/30	✓	100	100		
28	Store Supplies/ITT Co.	28	n/30	125/✓	225	125	25	75
28	Totals				1,325	1,150	100	75
					(201)	(119)	(124)	(X)

Individual amounts in the Other Accounts Debit and Accounts Payable Credit columns are posted daily.

Column totals, except for Other Accounts column, are posted at the end of the period.

Accounts Payable Subledger

Ace Mfg. Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 5	P1		200	200
25	P1		100	300

ITT Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 28	P1		225	225

Hornung Supply Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 3	P1		350	350

Smite Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 20	P1		300	300

Wynet and Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 13	P1		150	150

General Ledger

Merchandise Inventory No. 119

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				16,250
Feb. 28	S3		1,500	14,750
28	CR2		12,550	2,200
28	P1	1,150		3,350

Office Supplies No. 124

Date	PR	Debit	Credit	Balance
2011				
Feb. 28	P1	100		100

Store Supplies No. 125

Date	PR	Debit	Credit	Balance
2011				
Feb. 28	P1	75		75

Accounts Payable No. 201

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				-0-
Feb. 28	P1		1,325	1,325

Cash Disbursements Journal

The Cash Disbursements Journal is used to record <u>all payments (by us) of cash</u>.

Outdoors Unlimited Cash Disbursements Journal

Page 2

Date	Ch. No.	Payee	Account Debited	PR	Cash Cr.	Merchandise Inventory Cr.	Other Accounts Dr.	Accounts Payable Dr.
2011								
Feb. 3	105	L & N Railroad	Inventory re transp-in	119	15		15	
5	106	East Sales Co.	Inventory	119	25		25	
13	107	Ace Mfg. Co.	Ace Mfg. Co.	✓	196	4		200
20	108	Jerry Hale	Salaries Expense	622	250		250	
25	109	Wynet & Co.	Wynet & Co.	✓	147	3		150
28	110	Smite Co.	Smite Co.	✓	294	6		300
28		Totals			927	13	290	650
					(101)	(119)	(X)	(201)

LO 4

Outdoors Unlimited Cash Disbursements Journal

Page 2

Date	Ch. No.	Payee	Account Debited	PR	Cash Cr.	Merchandise Inventory Cr.	Other Accounts Dr.	Accounts Payable Dr.
2011								
Feb. 3	105	L & N Railroad	Inventory re transp-in	119	15		15	
5	106	East Sales Co.	Inventory	119	25		25	
13	107	Ace Mfg. Co.	Ace Mfg. Co.	✓	196	4		200
20	108	Jerry Hale	Salaries Expense	622	250		250	
25	109	Wynet & Co.	Wynet & Co.	✓	147	3		150
28	110	Smite Co.	Smite Co.	✓	294	6		300
28		Totals			927	13	290	650
					(101)	(119)	(X)	(201)

Column totals, except for Other Accounts column, are posted at the end of the period.

Individual amounts in the Other Accounts column and Accounts Payable column are posted daily.

General Ledger

Cash No. 101

Date	PR	Debit	Credit	Balance
2011				
Jan. 31	CR2			9,450
Feb. 28	CR2	19,770		29,220
28	CD2		927	28,293

Merchandise Inventory No. 119

Date	PR	Debit	Credit	Balance
2011				
Jan. 28				16,250
Feb. 3	CD2	15		16,265
5	CD2	25		16,290
28	S3		1,500	14,790
28	CR2		12,550	2,240
28	P1	1,150		3,390
28	CD2		13	3,377

Accounts Payable No. 201

Date	PR	Debit	Credit	Balance
2011				
Jan. 31				-0-
Feb. 28	P1		1,325	1,325
28	CD2	650		675

Salaries Expense No. 622

Date	PR	Debit	Credit	Balance
2011				
Feb. 20	CD2	250		250

Accounts Payable Subledger

Ace Mfg. Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 5	P1		200	200
13	CD2	200		-0-
25	P1		100	100

ITT Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 28	P1		225	225

Hornung Supply Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 3	P1		350	350

Smite Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 20	P1		300	300
28	CD2	300		-0-

Wynet & Company

Date	PR	Debit	Credit	Balance
2011				
Feb. 13	P1		150	150
25	CD2	150		-0-

Your Turn!

Exercise 8-5

Exercise 8-7

Problem 8-1A

Complete these Problems in preparation of the coming unit assignment.

Problem 8-2A

Problem 8-3A

General Journal

Do we still need it??? YES!

Used for all transactions <u>not</u> recorded in a special journal.

- Closing entries
- Adjusting entries
- Correcting entries
- Other special entries

These include:

- Purchase returns and allowances
- Purchases of plant assets using a note payable
- Sales returns and allowances.
- Receiving a note payable from a customer.

Mini-Quiz

Give the name of the journal in which the following transactions should be recorded.

Purchased equipment on credit.	PJ
Sold merchandise for cash.	CRJ
Paid for supplies that were purchased on account.	CDJ
Sold merchandise on account.	SJ

Schedules of A/P and A/R

A schedule of accounts payable is a listing of accounts from the Accounts Payable Subledger with their balances and the sum of all balances. This schedule is useful in the management of payables by adding additional information such as when the accounts are due.

Outdoors Unlimited
Schedule of
Accounts Payable
February 28, 2011

Ace Mfg. Company	$100
ITT Company	225
Hornung Supply Company	350
Total accounts payable	$675

The same is done for Accounts Receivables.

New Details in Accounting Cycle Steps

When special journals are used, we still need a General Journal for adjusting, closing, and correcting entries, and for special transactions not recorded in special journals. These special transactions include purchase returns and allowances, purchases of plant assets by issuing a note payable, sales returns, and receiving a note receivable from a customer.

The process to follow when using special journals is based on the first four steps of the accounting cycle: analyze, record, post, and prepare an unadjusted trial balance. The last section described this process in detail. A summary of the steps to follow when working with special journals is to:

1. **Analyze**
2. **Record transactions in the appropriate journal**
3. **Post**
   - Post to the subledger account, if any is affected
   - Post individual amounts in the Other Accounts column to the General Ledger
   - Foot and crossfoot the journals
   - Post column totals from the journals to the General Ledger (except Other Accounts)
4. **Prepare a trial balance**
   - Match the total of the accounts in each subledger to the respective controlling account on the trial balance

Complete this Problem in preparation of the coming unit assignment.

Problem 8-4A